



ILLUSTRATION BY **RAJ VERMA**

ferings in new-age services such as AI, blockchain, and cybersecurity, positioning itself as a key player in the global technology landscape. One of the key drivers for the sector is the rise of generative AI (artificial intelligence). AI demand is expected to grow 15 times from 2022 to 2027.

Consumption Recovery

India's consumption sector has shown a mixed recovery post-Covid, with premium products doing well while mass consumption lagged. Urban consumption has outperformed rural so far, though rural spending is now showing signs of recovery. The rise in nuclear families, from

34% in 2008 to 50% in 2022, has fuelled discretionary spending and driven consumption growth. The shift from unorganised to organised retail is also a key growth driver. Rural consumption is poised to revive, supported by expanding organised retail, better infrastructure, rising household incomes, and government schemes.

Healthcare Spending on the Rise

Healthcare spending in India is set to rise with increasing per capita GDP (gross domestic product). The rising elderly demographics are leading to increasing medical spending. As

Quality stocks with strong fundamentals are likely to outperform momentum-driven ones. Strategic stock picking and sector rotation will be key

a major producer of pharmaceuticals, vaccines, and medical devices, India is well-positioned to meet the global and domestic demand. With rising incomes and healthcare awareness, emerging markets like India are poised for rapid healthcare growth. India is also becoming a top outsourcing destination for contract development and manufacturing organisations (CDMOs), driven by cost advantages, favourable policies, and shifts in global supply chains. Additionally, the growing market for small molecule discovery and rising R&D investments present significant opportunities. **BT**

Views are personal